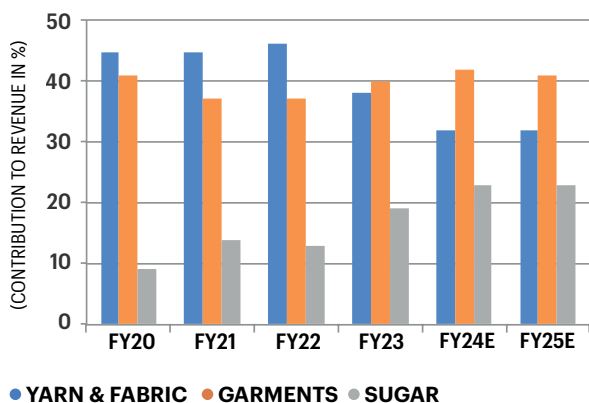


THE REVENUE SPREAD

In FY23, the contribution of yarn and fabric to revenue declined as the firm focussed on garment exports



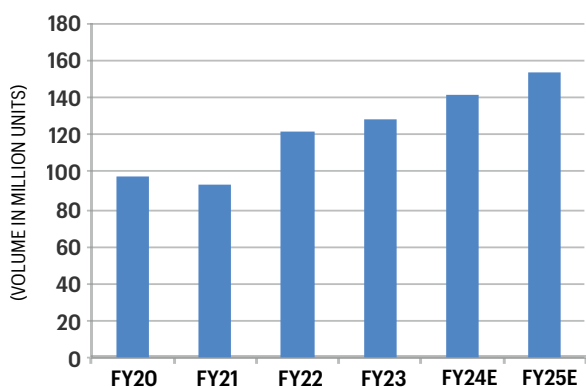
■ YARN & FABRIC ■ GARMENTS ■ SUGAR

E ESTIMATES

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KNITTING PRETTY

Volumes in the garment segment are expected to see a CAGR of 10% over FY23-25



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sorb the extra production—a sound logic that requires impeccable execution.

And KPR Mill has a war-footing strategy in place for it, too, to build operational factories within six months, a much quicker timeline than the usual 1-1.5 years. Step 1: Order machinery once the board approves the project. “Machinery can take even a year to reach us. We voluntarily pay a 10% advance to get it on a certain date,” he says. Step 2: If the norm for factory construction is to get quotations from four contractors before assigning them to one, get quotations from 10 and assign them to four. Lapsing into Tamil, he says: “When there’s a sudden downpour in the village, everybody in the house-

hold drops whatever they are doing to rush outside and bundle up all the grains left to dry. If it is a core task, our people will be fully on the job.”

For steps 3 and 4, ensure sufficient orders from buyers and trained labourers to execute them. One without the other can prove costly, he warns. If the new factory requires 1,000 labourers, hire and deploy 500 on training in existing factories two months before D-Day. “So, order-ready, trained people-ready, machinery has arrived on time. If we do a *pooja* on the target date, the factory can be commissioned by starting production on Day One itself,” he beams. Then, it is just a question of ramping up production. “Once commissioned, the road is clear; we just have to drive straight.”

The most crucial aspect for this plan to work to the hilt is finance. Ramasamy’s youngest brother and Managing Director P. Nataraj says the company has never embarked on a project relying entirely on bank loans, neither do they have the intention of doing so in the future. “In such a situation, we prefer postponing the project until we can create surplus funds from existing businesses. We are always very conscious of this.” Nataraj, a chartered accountant by training, says poor financial planning for big projects is how even large companies find themselves drowning in hefty loan repayments and interest.

But over the past 18 months, the global textile and garments industry has experienced a slowdown, especially with the Russia-Ukraine war denting exports to Europe, which accounts for 60% of the company’s garment exports. Even KPR Mill, known to leverage downturns, is focussed on adding sewing machines in factories with space to spare instead of greenfield expansions. “This year, we started adding capacity to boost production by another 30 million pieces, which is as good as a large factory. Less investment, same increase in production,” Ramasamy adds.

Ramasamy says the vision is to continue growing year after year. It’s quite possible, says Nuvama’s Raina, especially as the proposed India-UK Free Trade Agreement could potentially unlock a \$1-billion export opportunity for India. “The firm has guided an incremental 10-15% revenue growth if the deal goes through, apart from the 10-12% at which they have been growing,” says Raina.

As the business has welcomed the second generation into the fold, Ramasamy’s prayer is for continued teamwork in the 30,000-employee-strong company. “That is what got us here. I hope the next generation also takes this from us.” **BT**

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